

**Before the
Federal Maritime Commission**

Docket No. 24-17

Samsung Electronics America, Inc.
v.
**Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.**
v.
Samsung Electronics Company, Ltd.

**RESPONDENTS' AND THIRD-PARTY COMPLAINANTS' OPPOSITION
TO THIRD-PARTY RESPONDENT'S MOTION FOR AN ORDER
PRESERVING DEFENSE**

Respondents and Third-Party Complainants, Orient Overseas Container Line Limited and OOCL (Europe) Limited ("Respondents" or "OOCL"), by and through their undersigned counsel, submit this brief in opposition to the Motion of Third-Party Respondent. Samsung Electronics Company, Ltd. ("Samsung") for an Order Preserving Defense ("Motion").

I. ARGUMENT

A. Samsung's Filing of a Supplemental Brief Constitutes a Waiver of Its Special Appearance

Despite the Presiding Officer's urging at the conference held on June 25, 2025 that Samsung agree that service upon it by the Federal Maritime Commission was valid and waive its service of process defense, Samsung has refused to do so. Instead, Samsung has chosen to walk the tightrope of substantively defending against the Third-Party Complaint by arguing that it fails to state a cause of action, while maintaining its Special Appearance and arguing that service of process was not valid.

Samsung cannot have it both ways.

OOCL has cogently argued in its Motion for Reconsideration that, if Samsung elects to file a Supplemental Brief that substantively challenges the Third-Party Complaint, such an activity will constitute a waiver of Samsung's Special Appearance and subject it to *in personam* jurisdiction. Motion for Reconsideration, FMC Dkt. #50, Point III.B.¹

Samsung argues in the instant Motion that its filing of a substantive brief advocating that the Third-Party Complaint should be dismissed for failing to state a cause of action does not constitute a waiver of its service of process defense. That position was anticipated and dispelled in OOCL's Motion for Reconsideration. In the brief supporting that motion, OOCL explained the parameters of a special appearance, clarified the limited activity that a defendant's counsel is permitted to engage in before risking a waiver of the defense of improper service of process and cogently demonstrated that if Samsung elects to file a Supplemental Brief that substantively challenges the Third Party Complaint, that activity will constitute a waiver of Samsung's Special Appearance and subject it to *in personam* jurisdiction. *Id.* at 6, Point III.B. OOCL will now discuss and distinguish the cases cited in Samsung's Motion and explain why they do not support the relief that Samsung seeks.

Pruco Life Insurance Company v. Wilmington Trust Co., 616 F. Supp. 2d 210 (D.R.I. 2009) does not even remotely support Samsung's position. In that case, the defendants filed answers to the complaint which did not preserve the Rule 12 (b)(5) defense of lack of personal jurisdiction. After plaintiff filed an amended complaint, Wilmington retained new counsel whose amended answer did raise the defense and, subsequently, that counsel moved to dismiss based on the lack of personal

¹ Opposition to the Motion for Reconsideration was filed by the Complainant, Samsung Electronics America, Inc. ("SEA"). As OOCL's motion was not directed against SEA and the outcome does not affect the merits of SEA's Complaint in this proceeding, SEA has no standing to oppose OOCL's Motion for Reconsideration and its opposition should be ignored, if not stricken outright.

jurisdiction. The motion was denied on the grounds that defendant waived the defense by failing to assert it in the original answer:

“When the veil is pulled back, what Wilmington really appears to argue is that its new counsel should be allowed a “do-over” to assert the defense at *its* earliest opportunity, and that former counsel's failure should thus be forgiven... It nonetheless asks this Court to rewind the clock to alter prior counsel's mistake or, perhaps, strategic decision not to raise the jurisdictional defense. But in law, as in life, do-overs are a rare commodity, and Rule 12 does not provide one here. In sum, then, while the amended complaints in both cases supersede the original complaints for all intents and purposes in the litigation, they do not revive Wilmington's personal jurisdiction defense.” 616 F. 2d Supp. 2d 210, 215-6

Nothing in *Pruco* supports Samsung's position.

In *United States v. Ziegler Bolt and Parts Company*, 883 F. Supp 740 (Ct. Int'l Trade, 1995), the United States attempted to serve the defendant by mailing the summons and complaint to the defendant's attorney. The defendant's lawyer returned the Court of International Trade's form which acknowledged receipt of the complaint but did not consent or admit that service of process was proper; and, in its Answer, defendant clearly raised the defense of improper service of process, stating that the attorney was not its agent nor authorized to accept service of process on its behalf. The defendant delayed moving to dismiss in order to take advantage of a Court of International Trade rule, Rule 4(h), which required that service of process upon a defendant be completed within 120 days. Well after the expiration of that deadline, the defendant moved to dismiss. In response to the waiver argument raised by the government, in addition to others, the Court stated: “ Once defendant raised its defenses, thereby preserving them under the rules, defendant had the right to strategically and tactically decide the most advantageous time to assert them...” 883 F. Supp. 740, 752. Samsung's reliance on *Ziegler* is misplaced because, unlike here, the defendant did not seek to have the complaint dismissed on substantive grounds; instead, it properly preserved its insufficient service of process defense then filed its motion at a strategically advantageous time in order to insure dismissal. Here, Samsung seeks to

put the cart before the horse and have the merits of the Third-Party Complaint decided and then, if unsuccessful, seek dismissal on service of process grounds. That strategy was not supported in *Ziegler* and should be rejected by the Presiding Officer.

Williams v. Helbig, 2001 WL 536946 (S.D.N.Y. 2001) is as equally inapposite as the other cases relied upon by Samsung. In *Helbig*, plaintiff completely failed to serve the defendant but nevertheless moved for a default judgment. Defendant properly opposed the default raising lack of service as a defense, which is a viable and appropriate response to a default proceeding. The Court agreed, denied the motion for default and ordered that service be effected within 30 days. When plaintiff failed to comply, the court *sua sponte* dismissed the complaint without prejudice. In support of a motion for reconsideration, the plaintiff argued that the defendant's opposition to his improper attempt to take a default, coupled with attendance at one status conference, constituted a waiver of service. The court easily rejected this argument:

"The Helbigs' contact with this court was limited to the submission of papers in opposition to a motion for a default judgment and an appearance at a pretrial conference in reference to that motion. In light of the Helbigs' limited contact with this Court, their conduct does not constitute a waiver of the defense of sufficiency of service of process." *Id.* at 3.

Here, Samsung seeks to delve into the substance of the Third-Party Complaint – not engage in the procedural wrangling described in *Helbig*, which the Court properly found did not rise to the level of a waiver.

Finally, *Brokerwood Products v. Cuisine Crotone, Inc.* 104 Fed. Appx. 376 (5th Cir. 2004) was designated as "Not for Publication" and its citation was not in compliance with F.R.A.P. 32.1.² Out of an abundance of caution, we will nevertheless distinguish it.

² Since OOCL is compelled to distinguish the case, a copy is attached hereto in compliance with F.R.A.P. 32.1.

At the District Court level, one defendant's motion to dismiss based on improper service was denied, but the entire complaint was dismissed on the grounds of *forum non conveniens*, because the court found that the matter should be litigated in Canada (both defendants were Canadian, and all *forum non conveniens* factors supported litigation in that jurisdiction). On appeal, the Fifth Circuit reversed the denial of one defendant's motion and granted its motion to dismiss based on deficient service. Similar to the holding in *Ziegler*, the Court of Appeals noted the seven month gap between the filing of defendant's answer, in which the service of process defense had been preserved, and the time defendant moved to dismiss, observing: "...the case was dormant during most of that time... We are left with only an allegation of strategic timing..." 104 Fed. Appx. 376, 381

All of the above cases are distinguishable because in this proceeding Samsung initially sought to move for dismissal on the grounds that the FMC Rules governing service of process, which were complied with and used to effect service on Samsung, are somehow not binding upon it. Samsung now seeks to circumvent the consequences of that election by filing the within Motion and argue substantive matters. Permitting Samsung to file a Supplemental Brief which substantively addresses whether the Third-Party Complaint states a cause of action against it exceeds the parameters of the Special Appearance entered by Samsung's counsel. Samsung's strategy should not be allowed.

B. Samsung's Motion to Preserve Defense Should be Denied

Samsung's Motion attempts to convince the Presiding Officer to enable its strategy of contesting the substantive merits of the Third-Party Complaint, while allowing it to still hang its hat on the service of process peg, once the former argument is rejected. The cases cited by Samsung however do not support this strategy.

Atlas v. Thomson 25 WL 1261221 (D.N.J. 2025) involved a plaintiff who failed to make any effort to serve the defendant for approximately 400 days. The decision states that the court was

considering whether it had subject matter jurisdiction over the case, as well the constitutionality of the law under which the suit had been brought: “The court had previously stayed the filing of any motions except for motions to dismiss for lack of subject matter jurisdiction and motions making a factual challenge to the constitutionality of Daniel’s Law.” *Id.* at 1, footnote 1. After the hiatus created at the court’s direction had ended, defendant then served a motion to dismiss based on plaintiff’s failure to serve, in compliance with a subsequent order issued by the court directing that defendants were to file all remaining Rule 12 motions. Defendant’s motion to dismiss due to plaintiff’s failure to serve was granted because: “Plaintiffs have not been diligent and have not shown excusable neglect.” *Id.* at 3. Notably, there is no reference whatsoever in the case to a motion or an order “preserving defense.”

Fernandez v. Engineering & Inspection Services, 2023 WL 5751129 (E.D. La. 2023), involved a severe admonishment by the court of a co-defendant’s counsel who represented Exxon for not attending court-ordered status conferences, while Exxon’s motion to dismiss for lack of service was pending. When counsel protested that his disobedience of the court’s orders were intended to avoid prejudice to Exxon’s motion to dismiss for failure to serve, the Court rejected that excuse:

"For instance, it could have (1) attended the conference and, at the outset, noted its participation subject to and without waiving its pending motion; (2) filed a Motion for Order Preserving Defenses, asking the Court to expressly recognize that its participation would not effect a waiver of its defense; (3) filed a Motion to Stay, seeking to stay of the matter pending resolution of its defense; or (4) sought permission to be excused from attending the conference. At the very least, counsel could have telephoned court staff to advise of its rationale for not attending the court-ordered conference before simply ignoring the order, not showing up, and wasting 20 minutes of the court's time and other parties' time while court staff attempted to reach counsel." *Id.* at 4.

Here, OOCL has not even suggested that the attendance by counsel for Samsung at a conference with the Presiding Officer constitutes a waiver. However, OOCL does object to the submission of a substantive brief in support of dismissal of the Third-Party Complaint on the merits.

King v. Taylor, 694 F.3d 650 (6th Cir. 2012), is also unavailing to Samsung. There, the defendant state trooper preserved insufficient process as an affirmative defense in his answer but went on to extensively defend based on the merits of the case. The Court held that his extensive participation in the litigation constituted a waiver of that defense:

We find plaintiffs' third theory meritorious. They argue that Taylor forfeited his service defense through his extensive participation in the litigation. We agree. Even where a defendant properly preserves a Rule 12(b) defense by including it in an answer, he may forfeit the right to seek a ruling on the defense at a later juncture through his conduct during the litigation. 694 F.3d 650, 658

There is no holding in *King v. Taylor* which discusses the issuance of an order to preserve defense – the case simply discusses the type of litigation activity, i.e., defending a case on the merits, which establishes when an insufficient service of process defense has been waived.

Open Sea Distribution Corp. v. Artemis Distribution, LLC, 692 F. Supp. 3d 1151 (M.D. FL, Jacksonville Div. 2023) is equally unhelpful to Samsung – indeed, it supports the position advocated by OOCL:

A party forfeits the defense of lack of personal jurisdiction or insufficient service of process by substantially participating in the litigation without pursuing the defense or by otherwise acting inconsistently with a continuing objection to the power of the court to act over the defendant. 692 F. Supp. 3d 1151, 1250

In summary, there is no authority cited by Samsung supporting its argument that it be entitled to “preserve defenses,” substantively challenge the Third-Party Complaint and, if not successful, turn back to its insufficient service of process defense.

Finally, even if the concept of an order to preserve defenses were found to be available to Samsung, the vague reference to this device in the few cases relied upon by Samsung suggest that it should only be applied to very limited activity by a party’s counsel, such as attendance at a status conference, without prejudice to a pending motion to dismiss under Rule 12(b)(5). There is no

suggestion in the cases cited by Samsung that this device would enable a party's counsel to engage in a substantive defense of a case on the merits, as Samsung seeks to do here by seeking dismissal of the Third Party Complaint on the grounds that it fails to state a cause of action. Advancing a fulsome defense on the merits, as Samsung urges the Presiding Officer to allow, would not be protected and, to the contrary, constitute a waiver of Samsung's insufficiency of service defense and subject it to the *in personam* jurisdiction of the FMC.

II. CONCLUSION

Samsung's Motion for an Order Preserving Defense should be denied.

DATED: July 1, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 1st day of July, 2025, a true and correct copy of the foregoing Opposition to Third Party Respondent's Motion for an Order Preserving Defense was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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RESPONDENTS' AND THIRD-PARTY
COMPLAINANTS' OPPOSITION
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ORDER PRESERVING DEFENSE

Docket No. 24-17

Appendix A



KeyCite Yellow Flag

Distinguished by [MC Asset Recovery, LLC v. Commerzbank AG](#),
N.D.Tex., December 10, 2015

104 Fed.Appx. 376

This case was not selected for
publication in the Federal Reporter.

Not for Publication in West's Federal Reporter.

See Fed. Rule of Appellate Procedure 32.1 generally
governing citation of judicial decisions issued on or after
Jan. 1, 2007. See also Fifth Circuit Rules 28.7, 47.5.3,
47.5.4. (Find CTA5 Rule 28 and Find CTA5 Rule 47)

United States Court of Appeals,
Fifth Circuit.

BROKERWOOD Products INTERNATIONAL
(U.S.), INC., Plaintiff–Appellant/Cross–Appellee
v.

[CUISINE CROTONE, INC.](#), Defendant–Appellee,
Export Development Canada,
Defendant–Appellee/Cross–Appellant.

No. 03–30622.

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Decided July 9, 2004.

Synopsis

Background: United States corporation brought action in
state court against two Canadian corporations alleging breach
of contract, improper use of plaintiff's customer lists, and
violation of Louisiana Unfair Trade Practices and Consumer
Protection Law. Action was removed to federal court. The
United States District Court for the Eastern District of
Louisiana granted defendants' motion to dismiss for forum
non conveniens. Plaintiff appealed.

Holdings: The Court of Appeals, [Edward C. Prado](#), Circuit
Judge, held that:

[1] Canadian corporation, which raised personal jurisdiction
defense in its answer, did not waive personal jurisdiction
objection;

[2] district court in Louisiana lacked specific jurisdiction over
Canadian corporation; and

[3] district court lacked general jurisdiction over Canadian
corporations.

Vacated in part and affirmed in part.

Procedural Posture(s): On Appeal; Motion to Dismiss.

West Headnotes (6)

[1] **Federal Courts** Waiver, estoppel, and consent

Canadian corporation, which raised personal
jurisdiction defense in its answer, did not waive
personal jurisdiction objection when it waited
to move for dismissal seven months after it
filed its answer and approximately one month
after district court denied co-defendant's motion
to preclude admission of certain witnesses and
evidence. [Fed.Rules Civ.Proc.Rule 12\(h\)\(1\)](#), 28
U.S.C.A.

[55 Cases that cite this headnote](#)

[2] **Federal Courts** Particular Entities, Contexts, and Causes of Action

District court in Louisiana lacked specific
jurisdiction over Canadian corporation in action
arising out of corporation's stopping insuring co-
defendant's invoices to plaintiff, where plaintiff
only alleged an effect in Louisiana and did not
allege or present any evidence that Canadian
corporation intentionally directed its conduct
toward Louisiana.

[3 Cases that cite this headnote](#)

[3] **Federal Courts** Particular Entities, Contexts, and Causes of Action

Canadian corporation's sending three demand
letters to Louisiana companies did not reach
the level of extensive systematic and continuous
contacts required for general jurisdiction in
Louisiana federal district court.

[5 Cases that cite this headnote](#)

- [4] **Federal Courts** 🔑 Availability and adequacy
Federal Courts 🔑 Amenability to process

United States corporation's preference not to sue in Canada did not make Canada an unavailable forum, for purposes of determining whether suing defendant Canadian corporations in the United States was improper under forum non conveniens doctrine, when defendants were both subject to personal jurisdiction there.

9 Cases that cite this headnote

- [5] **Federal Courts** 🔑 Alternate Forum

Discretionary bond required by Canadian courts, while possibly increasing cost of litigation in Canada for United States corporation, did not deprive United States plaintiff of a remedy or cause it to be treated unfairly in Canada, for purposes of determining whether doctrine of forum non conveniens applied to Canadian corporations.

5 Cases that cite this headnote

- [6] **Federal Courts** 🔑 Residency of parties; state of incorporation

Federal Courts 🔑 Public and private interests; balancing interests

District court did not abuse its discretion in dismissing action against two Canadian corporations on ground of forum non conveniens based on private interest factors, where defendants' employees were all in Canada, and regardless of whether owners of plaintiff corporation were domiciled in Montreal or New Orleans, they split their time between Canada and Louisiana.

6 Cases that cite this headnote

Attorneys and Law Firms

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Appeals from the United States District Court for the Eastern District of Louisiana, (02–CV–1152).

Before **JONES, WIENER** and **PRADO**, Circuit Judges.

Opinion

EDWARD C. PRADO, Circuit Judge: *

* Pursuant to 5TH CIR. R. 47.5, the court has determined that this opinion should not be published and is not precedent except under the limited circumstances set forth in 5TH CIR. R. 47.5.4.

**1 Brokerwood Products International (U.S.), Inc. (“Brokerwood U.S.”) appeals from a *forum non conveniens* dismissal of its lawsuit against two Canadian companies, Cuisine Crotone, Inc. (“Cuisine”) and Export Development Canada (“EDC”). Because the district court did not abuse its discretion in dismissing the claims against Cuisine, we affirm its *forum non conveniens* ruling to that extent. We reverse, however, the district court's ruling that EDC had waived its objections to personal jurisdiction, and we conclude that the district court should have dismissed the claims against EDC for lack of personal jurisdiction.

Background

Brokerwood U.S. is a Louisiana corporation affiliated with a Canadian corporation, Brokerwood Products International (Canada), Inc. (“Brokerwood Canada”). Both Brokerwood companies act as agents in selling Canadian-manufactured cabinet products. Brokerwood U.S. imports Canadian cabinets and sells them in the United States. Both Brokerwood corporations (and the other related entities) are owned by William and Janet Shiell, who are also Brokerwood U.S.'s sole employees. The Shiells own a total of six related companies, located both in the United States and Canada. The Shiells claim dual United States–Canadian citizenship, and both divide their time between Canada and the United States. While Brokerwood U.S. has an office in Louisiana, Brokerwood Canada is based in Montreal. A written letter

from all six related Shiell companies, including Brokerwood U.S., indicates that the international head office for all the companies is in Montreal and that at least one of the officers can always be reached there.

As part of its business, Brokerwood Canada entered into an agency agreement with a company called Boiseries Crotone, Inc. Appellee Cuisine later assumed Boiseries Crotone's obligations under this agreement. Cuisine is a Canadian corporation; all of its employees work and live in Canada.

Under the agency agreement, Brokerwood Canada was to act as an exclusive agent for United States cabinetry sales. The contract anticipated that Brokerwood Canada would use sub-agents, including Brokerwood U.S. The relationship between the Brokerwood entities and Cuisine eventually turned sour, with each side alleging that the other failed to comply with their agreement.

Appellee–Cross–Appellant EDC is a Canadian Crown corporation solely owned by the Canadian government. As part of an effort to promote Canadian exports, EDC provides credit risk insurance to Canadian manufacturers that export goods. In November 2000, however, EDC stopped insuring invoices to Brokerwood U.S., essentially preventing Brokerwood U.S. from obtaining Canadian cabinets on credit. Brokerwood U.S. alleges that Cuisine *379 caused EDC's actions by providing EDC with false information about Brokerwood U.S.'s payment history.

Brokerwood U.S. originally sued Cuisine and EDC in Louisiana state court. Cuisine timely removed the case to federal court.¹ This suit alleges that Cuisine (1) breached its contracts with Brokerwood U.S. by delivering products late and delivering sub-standard products; (2) improperly used Brokerwood U.S.'s customer lists; and (3) violated the Louisiana Unfair Trade Practices and Consumer Protection Law, [LA.REV.STAT. ANN. § 51:1401 et seq.](#)

¹ EDC had not been served when Cuisine removed the case.

****2** The Louisiana suit was followed by two others in Canada. Cuisine sued Brokerwood U.S. in June 2002, and on July 8, 2002, Brokerwood Canada sued Cuisine for commissions allegedly due under the Agency Agreement. In the Cuisine-brought suit, Brokerwood U.S. lost a challenge to the Canadian court's personal jurisdiction over it. In that

suit, Brokerwood U.S. filed counterclaims, including some for failure to pay commissions.

In July 2002, around the time that the second Canadian suit was filed, EDC answered the Louisiana suit. Cuisine and EDC filed their initial disclosures shortly thereafter. Cuisine and EDC served discovery requests and filed a motion to strike Brokerwood U.S.'s jury demand. Little else happened until December 2002, when Brokerwood U.S.'s counsel filed a motion to withdraw, and Brokerwood U.S.'s current lawyers stepped in. Brokerwood U.S.'s new lawyers moved for a continuance of the April 2003 trial date. The district court granted this motion over Cuisine's and EDC's opposition.

In mid-December, Cuisine filed a motion to preclude, in which it sought to prevent Brokerwood U.S. from calling expert witnesses, from calling witnesses other than those already disclosed, and from presenting evidence on lost profits. The district court denied this motion.

After this denial, both Cuisine and EDC filed motions to dismiss for *forum non conveniens*. At the same time, EDC also filed a motion to dismiss for lack of personal jurisdiction.² The district court held a hearing on both motions. In May 2003, the court denied EDC's personal jurisdiction motion, ruling that EDC had waived that issue, but granted both parties' motions to dismiss based on *forum non conveniens*. In response, Brokerwood U.S. filed a motion for new trial. After conducting another hearing, the district court denied Brokerwood U.S.'s motion. Brokerwood U.S. timely filed a notice of appeal. EDC filed a notice of cross-appeal.

² Cuisine did not challenge the district court's jurisdiction.

Personal Jurisdiction: Waiver

[1] The district court concluded that EDC waived its personal jurisdiction objection by not moving to dismiss the case until February 2003—seven months after it filed its answer and approximately one month after the district court denied Cuisine's motion to preclude.

[Federal Rule of Civil Procedure 12\(h\)\(1\)](#) provides, in part, that a defendant waives its personal jurisdiction defense if the defense “is neither made by motion under this rule nor included in a responsive pleading or an amendment thereof permitted by Rule 15(a) to be made as a matter of course.”

EDC complied with [Rule 12\(h\)\(1\)](#) by including its objections to personal jurisdiction in its answer.

Nevertheless, in several cases other circuits have concluded that a defendant may waive a properly-pleaded personal jurisdiction defense by failing to pursue the defense ***380** after including it in an answer.³ In reaching its waiver conclusion here, the district court relied on one of these cases, *Yeldell v. Tutt*, 913 F.2d 533 (8th Cir.1990). In *Yeldell*, the defendants “provided no more than a bald assertion in their answer that the court lacked personal jurisdiction over them.” *Id.* at 539. They proceeded through discovery, motions, a trial, and post-trial motions, all without raising their objections to personal jurisdiction. *Id.* In fact, the *Yeldell* defendants did not raise the issue again until appeal. *Id.* The Eighth Circuit concluded that the defendants had waived their jurisdictional defense, holding “that their conduct in delaying consideration of this threshold issue manifests an intent to submit to the court’s jurisdiction.” *Id.*

³ This circuit has discussed, in dicta, the existence of “the well-established rule that parties who choose to litigate actively on the merits thereby surrender any jurisdictional objections.” *PaineWebber Inc. v. Chase Manhattan Private Bank (Switzerland)*, 260 F.3d 453, 459 (5th Cir.2001).

****3** Conduct short of waiting until appeal to litigate the defense has resulted in waiver. For example, a defendant waived its jurisdictional defense by suing the plaintiff in the objectionable forum in a second suit involving the same facts. *Gen. Contracting & Trading Co., L.L.C. v. Interpole, Inc.*, 940 F.2d 20, 23 (1st Cir.1991). In another case, the defendants filed their motion to dismiss for lack of personal jurisdiction only after their motion for summary judgment on their counterclaim had been denied. *Bel-Ray Co., Inc. v. Chemrite Ltd.*, 181 F.3d 435, 443–44 (3d Cir.1999). The court in *Bel-Ray* determined that the defendants had subjected themselves to jurisdiction by moving for summary judgment on their own claims for relief. *Id.* In the Ninth Circuit, a court may find waiver of personal jurisdiction if the defendant has complied with [Rule 12](#) only when there are “other factors militating in favor of a finding of waiver.” *Peterson v. Highland Music, Inc.*, 140 F.3d 1313, 1319 (9th Cir.1998). The *Peterson* court gave an example of such an other factor:

if a defendant were to engage in “sandbagging” by raising the issue of

personal jurisdiction on a motion to dismiss, deliberately refraining from pursuing it any further when his motion is denied in the hopes of receiving a favorable disposition on the merits, and then raising the issue again on appeal only if he were unhappy with the district court’s ultimate decision, then we would not hesitate to find that the defendant had waived any right to pursue the defense.

Id. at 1318.

Here, the district court determined that EDC’s actions waived its defense:

[p]rior to filing the motion to dismiss EDC participated in a scheduling conference, provided initial disclosure, filed a motion to strike the jury demand (which was ruled on by the court), and filed interrogatories, requests for production, and a witness list. EDC’s actions in extensively participating in the litigation do not reflect a continuing objection to this court’s power to exercise jurisdiction over its person.

Although we do not state a bright-line rule, we disagree with the district court and conclude that EDC did not waive its personal jurisdiction objection. EDC’s actions, particularly considering that it continued to note its objection to jurisdiction at the preliminary conference and in its discovery responses, do not rise to the level of “sandbagging,” or participation that would cause waiver. EDC did not file any counterclaims, much less seek adjudication on the merits of any claims. A total ***381** of seven months passed between EDC’s answer and its motion to dismiss, unlike the two and a half years of active litigation in another waiver case, *Continental Bank, N.A. v. Meyer*, 10 F.3d 1293, 1297 (7th Cir.1993)(finding waiver). Furthermore, the case was dormant during most of that time. EDC raised its objections in a motion before the district court; it did not wait until

appeal, like the defendant in *Yeldell*. We are left with only an allegation of strategic timing: that EDC waited until Cuisine's motion to preclude had been denied. This is not enough to waive EDC's jurisdictional challenge.

The Substance of EDC's Challenge to Personal Jurisdiction

****4** The district court, having found waiver, did not reach the substance of EDC's personal jurisdiction challenge. We address the merits of that challenge now.

Personal jurisdiction over an out-of-state defendant is determined by both the state's long-arm statute and the Due Process Clause. *ICEE Distrib., Inc. v. J & J Snack Foods*, 325 F.3d 586, 591 (5th Cir.2003). The Louisiana long-arm statute “extends jurisdiction over nonresidents to the extent allowed by federal due process.” *Id.* Thus, we need only examine whether the exercise of jurisdiction over EDC in Louisiana would offend due process.

Due process permits a court to exercise jurisdiction over a nonresident defendant only if two requirements are met. First, the defendant must have sufficient minimum contacts with the forum so that he would reasonably anticipate being pulled into court in that forum. *Gundle Lining Constr. Corp. v. Adams County Asphalt, Inc.*, 85 F.3d 201, 204 (5th Cir.1996). Second, the exercise of jurisdiction in the forum must not offend “traditional notions of fair play and substantial justice.” *Id.* (quoting *Asahi Metal Indus. Co. v. Superior Court*, 480 U.S. 102, 107 S.Ct. 1026, 94 L.Ed.2d 92, 113 (1987)). Minimum contacts fall into two different categories: contacts sufficient to establish general personal jurisdiction in the forum and those sufficient to establish specific jurisdiction. *Alpine View Co. v. Atlas Copco AB*, 205 F.3d 208, 215 (5th Cir.2000). Specific jurisdiction arises when the defendant “has purposefully directed its activities at the forum state and the ‘litigation results from alleged injuries that’ arise out of or relate to ‘those activities.’ ” *Id.* (quoting *Burger King Corp. v. Rudzewicz*, 471 U.S. 462, 472, 105 S.Ct. 2174, 85 L.Ed.2d 528 (1985)). “General jurisdiction, on the other hand, will attach where the nonresident defendant's contacts with the forum state, although not related to the plaintiff's cause of action, are ‘continuous and systematic.’ ” *Alpine View*, 205 F.3d at 215 (quoting *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408, 415–16, 104 S.Ct. 1868, 80 L.Ed.2d 404 (1984)). Brokerwood U.S. contends that the district court had both specific and general jurisdiction over EDC.

Specific Jurisdiction

[2] Brokerwood U.S. bases its specific jurisdiction argument on the idea that the effects of EDC's actions were felt in Louisiana. In particular, Brokerwood U.S. argues that EDC's refusal to cover its receivables affected its ability to do business and that Brokerwood, as a Louisiana company, felt this harm in Louisiana. Because of this connection, Brokerwood U.S. contends that jurisdiction is appropriate in Louisiana. To support this contention, Brokerwood U.S. relies on the “effects test” found in *Calder v. Jones*, 465 U.S. 783, 104 S.Ct. 1482, 79 L.Ed.2d 804 (1984). In *Calder*, the Supreme Court concluded that libel defendants could be subject to personal jurisdiction in California because it was “the focal point both of the story and of the harm suffered. Jurisdiction ***382** over petitioners is therefore proper in California based on the ‘effects’ of their Florida conduct in California.” *Id.* at 789, 104 S.Ct. 1482. Brokerwood U.S. omits, however, reference to other cases that indicate that a party may not rely solely on effects within the forum state.

****5** Foreseeable effects are part of the specific jurisdiction analysis. But they are only one part: “[f]oreseeable injury alone is not sufficient to confer specific jurisdiction, absent the direction of specific acts toward the forum.” *Wien Air Alaska, Inc. v. Brandt*, 195 F.3d 208, 212 (5th Cir.1999). Furthermore, “the effects test is not a substitute for a nonresident's minimum contacts that demonstrate purposeful availment of the benefits of the forum state.” *Allred v. Moore & Peterson*, 117 F.3d 278, 286 (5th Cir.1997).

Wien Air describes the effects test and also provides an example of when it can be used to establish jurisdiction. In *Wien Air*, the nonresident defendant

performed several tortious actions outside of Texas directed towards [plaintiff] in Texas. These actions had foreseeable effects in the forum and were directed at the forum. These contacts take the form of letters, faxes, and phone calls to Texas by [defendant] whose contents contained fraudulent misrepresentations and promises and whose contents failed to disclose material information. For example, [plaintiff] provides a sworn affidavit from its employee Ms. Long

stating that numerous calls, letters and faxes were made by [defendant] to [plaintiff] in Texas, and she avers that these calls contained the promises, assurances, and representations that are at the heart of the lawsuit.

Id. That situation contrasts with the situation here. Brokerwood U.S. has only alleged effects—damages—and has not alleged or presented any evidence that EDC intentionally directed its conduct toward Louisiana. Therefore, Brokerwood U.S. cannot establish that the district court had specific jurisdiction over EDC.⁴

⁴ The plaintiff has the burden of establishing jurisdiction over the nonresident defendant. *Gundle Lining*, 85 F.3d at 204.

General Jurisdiction

[3] General jurisdiction's “continuous and systematic contacts test is a difficult one to meet, requiring extensive contacts between a defendant and a forum.” *Submersible Sys., Inc. v. Perforadora Cent., S.A. de C.V.*, 249 F.3d 413, 419 (5th Cir.2001) (citing 16 JAMES WM. MOORE ET AL., MOORE'S FEDERAL PRACTICE ¶ 108.41[3] (3d ed.1999)). Brokerwood U.S. attempts to meet this standard by presenting a list of EDC's contacts with Louisiana. According to Brokerwood U.S., EDC's continuous and systematic contacts consist of sending three demand letters to Louisiana companies—one written by EDC and the other two written by one of EDC's agents; filing one lawsuit in Louisiana to recover payment; negotiating a loan with a Louisiana entity; and marketing itself internationally (including in Louisiana) on its website. These contacts do not reach the level of extensive systematic and continuous contacts required for general jurisdiction.⁵

⁵ See, e.g., *Wilson v. Belin*, 20 F.3d 644, 650–51 (5th Cir.1994)(even if possibly continuous, defendant's contacts were not substantial enough for general personal jurisdiction); *Cent. Freight Lines, Inc. v. APA Transp. Corp.*, 322 F.3d 376, 381 (5th Cir.2003) (no general jurisdiction in Texas even though defendant “routinely arranges and receives interline shipments to and from Texas and apparently sends sales people to the state

on a regular basis to develop business, negotiate contracts, and service national accounts”).

*383 Brokerwood U.S. has not established that EDC was subject to personal jurisdiction in Louisiana. Thus, suit in Louisiana was improper, and the claims against EDC should have been dismissed for lack of personal jurisdiction.

Forum non conveniens

The *forum non conveniens* doctrine focuses on convenience. *Dickson Marine Inc. v. Panalpina, Inc.*, 179 F.3d 331, 342 (5th Cir.1999). The doctrine “presupposes at least two forums where the defendant is [amenable] to process and simply furnishes criteria for choice between them.” *Id.* With this choice, the plaintiff's initial choice of forum is usually respected. *Id.* at 342. As a doctrine, *forum non conveniens* is committed to the district court's discretion. *Piper Aircraft Co. v. Reyno*, 454 U.S. 235, 257, 102 S.Ct. 252, 70 L.Ed.2d 419 (1981). That court's *forum non conveniens* decision, therefore, “deserves substantial deference” and is only reversed for a clear abuse of discretion. *Baumgart v. Fairchild Aircraft Corp.*, 981 F.2d 824, 835 (5th Cir.1993) (quoting *Piper Aircraft*, 454 U.S. at 257, 102 S.Ct. 252).

*6 A *forum non conveniens* inquiry has several steps. First, the defendant invoking the doctrine must establish that an alternate forum is both available and adequate. An available forum is one where the case and all the parties can come within its jurisdiction. *Alpine View*, 205 F.3d at 221. An adequate forum is one in which “differences in that forum's laws would not deprive the plaintiff of all remedies or result in unfair treatment.” *Empresa Lineas Maritimas Argentinas, S.A. v. Schichau-Unterweser, A.G.*, 955 F.2d 368, 372 (5th Cir.1992).

Having established an available and adequate forum, the defendant must then show that certain private factors support dismissal. *McLennan v. Am. Eurocopter Corp., Inc.*, 245 F.3d 403, 424 (5th Cir.2001). These private factors are:

- (1) the relative ease of access to sources of proof; (2) the availability of compulsory process for attendance of unwilling, and the costs of obtaining attendance of willing, witnesses; (3) probability of an opportunity to view the premises, if view would be appropriate to the action; and (4) other

factors affecting the ease, speed, and expense of trial or the enforceability of a judgment if obtained.

Baumgart, 981 F.2d at 835–36 (footnote omitted). When examining these factors, the court should also consider the timeliness of the defendant's motion. *Id.*

If these private interest factors do not indicate that another forum is better suited for trial of the case, the court should then examine certain public interest factors. *Baumgart*, 981 F.2d at 837. If the private interest factors do, however, weigh in favor of dismissal, then the court does not need to consider the public ones. *Id.* The public interest factors are:

[T]he administrative difficulties flowing from court congestion; the ‘local interest in having localized controversies decided at home’; the interest in having the trial of a diversity case in a forum that is at home with the law that must govern the action; the avoidance of unnecessary problems in conflict of laws, or in the application of foreign law; and the unfairness of burdening citizens in an unrelated forum with jury duty.

Dickson Marine, 179 F.3d at 342.

In this case, the district court concluded that Canada was both an available and adequate forum. Continuing on, the district court determined that the private factors weighed in favor of dismissal and that the litigation's focal point was Canada. Although it was not required to, the district court also considered the public interest factors and concluded that Canadian ³⁸⁴ courts would be “in a better position to streamline the litigation.”

Available and Adequate Forum

[4] Brokerwood U.S. first challenges the district court's conclusion that Canada is an available and adequate forum. Concerning availability, it does not contend that Cuisine and EDC cannot come within the Canadian court's jurisdiction, but rather that Brokerwood U.S. should not have to submit to jurisdiction, which it challenged (and lost) in one of the other Canadian suits. Nevertheless, Brokerwood U.S.'s preference not to sue in Canada does not make Canada an unavailable forum when the defendants are both subject to personal jurisdiction there.

⁷ [5] Brokerwood U.S. also argues that Canada is not an adequate forum because the Canadian court has the discretionary authority to order Brokerwood U.S. to post a cost bond. Yet, the possibility of a bond is not the kind of difference that makes a forum inadequate. Mere differences in the foreign forum's law do not automatically render a foreign forum inadequate, so long as the plaintiff is not deprived of all remedies, or is not limited to a clearly unsatisfactory remedy. *Gonzalez v. Chrysler Corp.*, 301 F.3d 377, 380 (5th Cir.2002). In fact, a forum may be adequate even if the party's claim would be economically unviable in that forum. *See id.* at 383. In light of this precedent, a discretionary bond, while possibly increasing the cost of litigation, does not deprive Brokerwood U.S. of a remedy or cause it to be treated unfairly. The possibility of a bond does not make Canada an inadequate forum, and the district court did not clearly abuse its discretion in concluding that Canada was both an available and adequate forum.

Private Interest Factors

[6] The dispute over the private interest factors primarily comes down to two factors—the availability of witnesses and timeliness.

Of the two, timeliness causes us more concern. A defendant must make its *forum non conveniens* motion “within a reasonable time after the facts or circumstances which serve as the basis for the motion have developed and become known or reasonably knowable to the defendant.” *In re Air Crash Disaster Near New Orleans, La.*, 821 F.2d 1147, 1165 (5th Cir.1987) (en banc), *vacated on other grounds sub nom., Pan Am. World Airways, Inc. v. Lopez*, 490 U.S. 1032, 109 S.Ct. 1928, 104 L.Ed.2d 400 (1989). A defendant's delay in filing a *forum non conveniens* motion will not result in waiver, but delay does weigh heavily against granting the motion. *Id.*

The parties extensively argued about timeliness in the hearing before the district court. Although the district court did not expressly address timeliness in the order granting the *forum non conveniens* motion or on the motion to reconsider, in light of the extensive argument, we agree with the parties that the court implicitly denied Brokerwood U.S.'s timeliness argument.

The timeliness issue presents a close call, with strong arguments running in both directions. Although this case had been on file for some time, it had been fairly inactive, with little discovery taking place. As Brokerwood U.S. argues, EDC's and Cuisine's actions might give the appearance of

gamesmanship because they did not file their motions until after the court denied Cuisine's motion to preclude much of Brokerwood U.S.'s evidence. In their defense, EDC and Cuisine argue that they did not realize the similarities in the cases until after Brokerwood U.S. supplemented its discovery responses to specify ***385** that it sought recovery for some of the same commissions it had sought in the Canadian lawsuit.

Turning to witnesses, the district court determined that the location and availability of witnesses weighed in favor of the Canadian forum. Challenging this determination, Brokerwood U.S. contends that its pre-trial order inserts included a list of its own will-call witnesses, at least half of whom resided closer to Louisiana than to Canada. Because many of these witnesses were in states other than Louisiana, Brokerwood U.S. cites *Rivendell Forest Products, Ltd. v. Canadian Pacific Ltd.*, 2 F.3d 990, 993 n. 5 (10th Cir.1993), to argue that witness availability is a neutral factor. There are some similarities. The *Rivendell* court noted that when much of its case's proof was in Minnesota, it would be difficult to see how British Columbia would be more convenient than Colorado, the plaintiff's selected forum. *Id.* Brokerwood U.S. similarly argues that some of its witnesses, as the list reflects, are in states other than Louisiana. But at the time of the motion, Brokerwood U.S. had not supplemented its witness list and the location of these witnesses was not before the district court.

****8** More importantly, Brokerwood U.S.'s argument ignores the fact that Cuisine's and EDC's employees were all in

Canada, and that the Shiells—regardless of whether they are domiciled in Montreal or New Orleans—split their time between Canada and Louisiana. The district court did not err in concluding that the availability of witnesses suggests that Canada would be a better forum.

The district court balanced the relevant private interest factors and concluded that this case belongs in Canada. Although close, timeliness does not so alter the balance of the private interest factors as to justify overriding the district court's discretion.⁶ Thus, we cannot conclude that the district court clearly abused its discretion in dismissing this case.

⁶ Because the private interest factors favor dismissal, we do not examine the public interest factors. *Baumgart*, 981 F.2d at 837.

Conclusion

For these reasons, we vacate the district court's order denying EDC's motion to dismiss for lack of personal jurisdiction and remand to the district court to dismiss the claims against EDC. We affirm the district court's order dismissing the claims against Cuisine based on *forum non conveniens*.

VACATED in part, AFFIRMED in part.

All Citations

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